

BUS43-1

Management & Organizational Behavior

Structure, motivation, transformation, and change leadership

Reading organizations as empirical systems and leading change inside them.

Albert School — 22 hours

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1 Organizational structures

An organization's structure is the way it divides labour into tasks and then coordinates those tasks. Four structural types recur.

Definition 1 Functional structure: units are grouped by specialty (sales, operations, finance, R&D). It concentrates expertise but characteristically produces silos — coordination across functions is slow and is pushed up to the top of the hierarchy.

Definition 2 Matrix structure: each employee reports along two lines at once, typically a function and a product or region. It improves cross-functional coordination but characteristically produces dual-authority conflict — competing priorities from the two bosses and unclear accountability.

Definition 3 Project-based structure: work is organized into temporary teams assembled around projects and disbanded on completion. It is flexible but characteristically produces instability — repeated reassignment, weak long-term capability accumulation, and contested ownership of shared resources.

Definition 4 Platform structure: a stable core provides shared infrastructure and rules on which semi-autonomous units (or external participants) build. It scales well but characteristically produces friction between the central core and the units over standardization, control, and value capture.

Each type is a trade-off: the coordination it makes cheap, it pays for with a characteristic friction elsewhere.

2 Mintzberg's coordination mechanisms

Mintzberg identifies the basic ways an organization coordinates work. Each works under particular conditions and breaks under others.

Definition 5 Mutual adjustment: coordination by informal communication between people doing the work. Works for small groups and novel, complex tasks; breaks as the number of people grows, because the communication links multiply.

Definition 6 Direct supervision: one person gives orders and monitors others. Works when a single overseer can hold the whole task in view; breaks as scale and complexity exceed one supervisor's span.

Definition 7 Standardization of work processes: the content of the work is specified in advance (procedures, rules). Works for stable, repetitive tasks; breaks when tasks are variable or require judgement.

Definition 8 Standardization of outputs: the results are specified (targets, specifications) while the method is left open. Works when outputs can be defined precisely; breaks when ends are hard to measure or specify.

Definition 9 Standardization of skills: coordination is achieved by training people beforehand so they know what to expect of one another (e.g. surgeons and anaesthetists). Works when the work requires high expertise that can be standardized through education; breaks when the situation falls outside the trained repertoire.

As an organization grows and its work becomes more complex, the dominant mechanism tends to shift from mutual adjustment toward direct supervision and then toward the forms of standardization, and back to mutual adjustment for the most complex work.

3 Reading an org chart and mapping stakeholders

The formal org chart states declared structure. The actual structure — where real priorities sit, where friction concentrates, and how power is exercised — often diverges from it. Reading an organization means detecting that divergence.

3.1 Reading the chart for real priorities and power

- **Real priorities:** which functions report directly to the top, control budget, or hold veto rights reveal what the organization actually optimizes for, regardless of stated mission.
- **Friction zones:** boundaries where two units must coordinate but have divergent objectives (e.g. sales vs. operations) are where conflict concentrates.
- **Power games:** control over resources, information, and access to decision-makers confers power independent of formal title. Inconsistencies between the declared chart and observed decision-making expose these dynamics.

3.2 Stakeholder mapping

Definition 10 Stakeholder mapping: classifying the parties affected by a decision or change according to their position toward it — **allies** (support), **resistors** (oppose), and **indifferents** (no active stake) — together with their influence.

A stakeholder's position is determined by interest (what they stand to gain or lose) and by their power to act on it. The same change makes allies of those it benefits and resistors of those who bear its cost; mapping makes these positions explicit before acting.

4 Motivation theory

Three theories frame how managers can support — or destroy — motivation.

Definition 11 Maslow's hierarchy of needs: human needs are ordered — physiological, safety, belonging, esteem, self-actualization — with higher needs becoming salient as lower ones are satisfied.

Definition 12 Herzberg's two-factor theory: **hygiene factors** (pay, conditions, security) cause dissatisfaction when absent but do not produce satisfaction when present; **motivators** (achievement, recognition, responsibility, growth) produce satisfaction. Fixing hygiene removes discontent but does not motivate.

Definition 13 Self-Determination Theory (Deci & Ryan): intrinsic motivation depends on three psychological needs — **autonomy** (acting with volition), **competence** (being effective), and **relatedness** (connection to others). A management system that satisfies all three amplifies intrinsic motivation.

Common pitfall Common early-manager behaviors destroy intrinsic motivation by undermining these needs: micromanagement and removing discretion attack **autonomy**; attaching controlling contingent rewards to inherently interesting work crowds out intrinsic interest; constant criticism without support, or assigning tasks beyond reach without help, attacks **competence**; and a purely transactional, isolating style attacks **relatedness**.

A management system designed on Self-Determination Theory grants meaningful discretion (autonomy), provides feedback and appropriately stretching tasks (competence), and builds genuine working relationships (relatedness).

5 Large-scale transformation typologies

Definition 14 Restructuring: changing the organizational structure — units, reporting lines, headcount — to fit a new strategy or cost target.

Definition 15 Turnaround: reversing a decline, typically under crisis and time pressure, through stabilization, refocusing, and often deep cuts.

Definition 16 Post-merger integration: combining two previously separate organizations into one, reconciling structures, systems, and cultures.

Definition 17 Digital transformation: re-architecting the organization's processes, capabilities, and business model around digital technologies.

5.1 Comparative cases

- **IBM, 1993, under Gerstner (turnaround):** facing breakup and losses, Gerstner kept the company integrated and repositioned it from hardware toward services and solutions. The mechanism behind success was using IBM's integration as a source of customer value rather than dismantling it.
- **Nokia, 2007–2013 (failed transformation):** dominant in mobile phones, Nokia failed to respond to the smartphone shift initiated by the iPhone. The mechanism behind failure combined an internal structure and incentives that suppressed bad news with a late and mismanaged platform transition.
- **GE under Welch (restructuring):** Welch restructured the portfolio around the “fix, sell, or close / be 1 or 2” rule and drove change through performance ranking and delayering. The mechanism was relentless portfolio discipline and performance pressure — effective on the metrics targeted, and contested for its human and cultural costs.

In each case the diagnostic question is the same: what mechanism, not what label, produced the outcome.

6 Selecting a transformation approach

The starting condition constrains which approach fits.

- **Crisis** (acute decline, threatened survival): demands a turnaround — rapid stabilization, decisive cuts, top-down speed — because there is no time for gradual, participative change.
- **Plateau** (stagnation without acute threat): the difficulty is the absence of a burning platform; change must be motivated deliberately, often through restructuring or strategic repositioning.
- **External shock** (technological or market disruption): demands re-architecting the business model, as in digital transformation, because incremental adjustment of the old model is insufficient.

Remark Empirically, a large share of major change efforts fail to meet their objectives. A chosen approach must be justified against this evidence — matching the approach to the starting condition, and not assuming success.

7 Team formation and performance

Definition 18 Tuckman's stages of team development: **forming** (orientation and dependence on the leader), **storming** (conflict over roles and approach), **norming** (agreement on norms and ways of working), **performing** (effective, largely self-directed work), and **adjourning** (disbanding).

Each phase asks something different of the manager: in **forming**, provide direction and clarify purpose; in **storming**, surface and resolve conflict rather than suppress it; in **norming**, consolidate agreed norms; in **performing**, delegate and remove obstacles; in **adjourning**, close out and recognize contributions.

8 Collective cognitive biases and structured dissent

Groups in organizations are subject to systematic biases that distort collective decisions.

Definition 19 Groupthink: the drive for consensus in a cohesive group suppresses dissent and realistic appraisal of alternatives. The Challenger launch decision is the classic case: concerns were overridden in favour of consensus and schedule.

Definition 20 Confirmation bias: seeking and weighting evidence that confirms an existing belief — e.g. a strategy committee that registers supporting data and discounts contradicting data.

Definition 21 Sunk cost: continuing to commit resources to a failing course because of what has already been invested, common in resource-allocation decisions.

Definition 22 Authority bias: deferring to the views of those higher in the hierarchy regardless of the merits, suppressing lower-level information.

Structured dissent techniques deliberately counter these biases:

Definition 23 Pre-mortem: before committing, the group imagines the decision has failed and works backward to explain why, surfacing risks that optimism conceals.

Definition 24 Red team: a designated group is tasked with attacking the plan as an adversary would.

Definition 25 Devil's advocate: a person is assigned to argue against the emerging consensus, legitimizing dissent.

9 Change management with Kotter's 8 steps

Definition 26 Kotter's 8-step model: (1) establish a sense of urgency; (2) form a guiding coalition; (3) develop a vision and strategy; (4) communicate the change vision; (5) empower broad-based action by removing obstacles; (6) generate short-term wins; (7) consolidate gains and produce more change; (8) anchor new approaches in the culture.

Common pitfall The model has empirical limits. Its strict **sequencing** is often unrealistic — steps overlap and recur rather than proceeding in order — so treating the eight steps as a rigid checklist over-sequences a messy process. The model also **under-estimates political resistance**: it largely treats opposition as a communication problem to be overcome with vision and urgency, whereas resistance is frequently a rational defence of real interests that no amount of communication dissolves.

10 Change communication and managing the losers

10.1 Staging communication, quick wins, and resistance waves

A change-communication sequence is designed over time, not delivered once.

- **Quick wins** are staged early and made visible to demonstrate that the change produces results, building credibility and momentum.
- **Resistance waves** recur as the change touches successive groups; communication anticipates each wave and addresses the specific interests at stake rather than repeating a generic message.

Definition 27 Surface vs. deep change: surface change alters visible behaviors and stated compliance; deep change alters underlying assumptions, norms, and culture. The two are distinguished by whether new behaviors persist once pressure and monitoring are removed.

10.2 Handling the losers

Every transformation distributes costs unevenly: some parties lose roles, status, or security.

To handle the losers honestly: **identify who bears the cost** of the change; **make the trade-offs visible** to stakeholders rather than concealing them; and **navigate the ethical and political consequences** of role removal, restructuring, or reassignment — treating those affected with fairness and managing the legitimacy of the change in the eyes of those who remain.

11 Measuring change

A transformation must be measured, distinguishing what is genuinely achieved from what is merely declared.

Definition 28 Engagement: the degree of attention, energy, and commitment people bring to the change, typically assessed through surveys and participation.

Definition 29 Behavioural adoption: the extent to which the intended new behaviors are actually performed in practice.

Definition 30 Cultural shift: change in the underlying shared assumptions and norms.

These indicators correspond to increasing depth. Engagement and stated compliance can register while behaviour and culture are unchanged; only sustained behavioural adoption and cultural shift indicate that surface change has become deep change.